

Q3FY22 Result Update | Retail

Equity Research Desk

Market share gain continues

February 3, 2022

Results were much better than expectations

- **Revenues:** grew by 32% YoY to Rs.10,0370 mn (QoQ +34%) (excluding bullion sale of Rs 540 Mn in Q3FY22 vs Rs 3,400 Mn YoY; Jewellery business grew by 37%)
- **EBIDTA:** grew 70% YoY to Rs 14,420 mn (QoQ+49%)
- **EBIDTA margins** stood at 14.37% v/s 11.13% YoY(QoQ 12.92%)
- **Adjusted Net Profit** grew by 91% YoY to Rs.10,040mn (QoQ +57%)

Segmentals

- **Jewellery: (89% of Income)**
 - **Revenues** grew by 32.5% YoY to Rs 90,590 mn, **EBIT margins** 14.22% vs 11.21% YoY and 12.22% QoQ
Stores +37 9MFY22 || Total 557
- **Watches (7% of Income)**
 - Revenues** grew by 28.9% YoY to Rs7,100 mn **EBIT margins** 11.2% v/s 2.72% YoY and 13.06% QoQ
Stores (fasttrack+WOT+Helios) +27 9MFY22 || Total 809
- **EyeWear(1.5% of Income)**
 - Revenue** grew by 25.8% YoY to Rs 1,560 mn, **EBIT margins** 21.8% v/s 17.7% YoY and 23.1% QoQ
Store +83 || Total 682

Outlook from Management Call

- **Expansion remains key focus area**
- Store expansion vision at 1.4x from current levels of ~557 stores in jewelry division
- Wedding demand to sustain next 4-5 months
- Aim to make Tanishq a global brand
- Eyewear aims to reach 1000 stores from 707 stores currently

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	2,750	11

Market data

Current price	Rs	2,475
Market Cap (Rs.Bn)	(Rs Bn)	2,197
Market Cap (US\$ Mn)	(US\$ Mn)	29,359
Face Value	Rs	1
52 Weeks High/Low	Rs	2,687 / 1,396
Average Daily Volume	('000)	1,183
BSE Code		500114
Bloomberg		TTAN.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	52.90	52.90
Public	47.10	47.10
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	2,10,515.4	2,16,449.9	2,99,542.0	3,52,548.1	4,19,880.3
EBIDTA	24,665.8	17,249.9	37,169.4	47,505.9	61,410.7
Margins	11.7	8.0	12.4	13.5	14.6
Adjusted net profit	15,013.9	9,739.9	24,638.5	33,661.9	43,809.3
EPS (Rs)	16.9	10.9	27.7	38	49
P/E (x)	146.4	226.2	89.4	65.4	50.3
EV/EBITDA (x)	89.7	126.6	58.6	45.9	35.6
RoCE (%)	24.5	15.1	30.6	33.6	39.2
RoE (%)	22.5	13.0	26.4	29.6	31.3

Source: Company

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Conference Call Highlights

A. Jewellery Division

- Still @6% market share in jewelry industry, huge potential left
- **Expansion Plan :**
 - Opened +29 stores in 9M & will add ~10-12 by year end taking the store count to 35-37 stores this year
 - Next year pipeline to open 50 stores may end up opening 35-40 stores (Currently 382-odd Tanishq stores)
 - Continues to add stores in Nebula & Caratlane
 - Already crossed 500 stores on overall jewelry portfolio, aim to take total count to 600-700 over next couple of years
 - Tanishq continues to increase its presence in USA ; want to target NRI, PIO in the GCC and North America in the next 3 years & became jeweler of choice
 - Opened first international store in Dubai a year back and it has done exceedingly well, opened 2 more stores
 - First North America store to be opened in May, June of '22; 3- 4 months down the road in New Jersey
 - Tamil Nadu : Currently at 42 stores
 - Gaining market share because of regionalization
- Tanishq Volume vs Value Growth : 32% buyer growth and 2% on ticket size. Both walk-ins and buyers exhibited 30%+ growth over Q3 FY21;
- New buyer growth stood at 39%
- Investing in Bharat markets which are typically UP, Bihar, Orissa, parts of MP, Chhattisgarh etc where the upside is huge
- **Wedding :**
 - Overall retail growth +34% but wedding segment has seen growth of 40% in this quarter (YoY basis)
 - Total Contribution from wedding : 20-21% (V/s Industry wedding contribution is in the range of 50-60%)
 - Separate dedicated marketing, merchandising and retail plan for Riva, which is sub-brand for wedding
 - Pent up demand to continue for next 5 months
- Both Plain & Studded categories grew ~35%+ YoY; Studded ratio at 26% in the overall mix saw marginal improvement over same period last year
- GHS enrolments recorded high double digit growth rates driven by strong buyer uptick

B. Watches & Wearables Division

- **Expansion Plan :**
- The largest brand Titan grew by 26% YoY; Both Fastrack and International brands clocked higher growth rates of 35%+ YoY
- Sales from Retail channel grew by 25% YoY; Multibrand Retailers (Trade) and Large Format Stores (LFS) clocked growth rates of 37% and 81% YoY respectively on a lower base from last year due to adverse impact of Covid
- Launched Titan smart in Q3
- Launched Fastrack reflects watch
- Very healthy pipeline of smart watches from both Titan and Fastrack
- Value growth higher by 10% compared to volume
- Growth in Tier-2 and Tier-3 towns was better than metros

C. Eye Wear Division

- In last 9M added +125 stores (Largest expansion ever done in eye care division)
- Aim to take network count from 707 to ~1000 (One year before stores were at 600 : Took 12-13 years to reach this number)
- In-house brands and international brands clocked growth rates of 22% and 45% YoY respectively
- Sales from Retail and Trade channels clocked growth rates of 25% and 51% YoY respectively
- The division accelerated its growth journey with opening of 53 stores (net) pan-India

D. Other business – Indian Dress Wear, Fragrances and Accessories

- Both Accessories and Taneira clocked growth rates of 49% YoY, Fragrances grew by 33% YoY
- 'Taneira' opened 2 stores (Noida and Bangalore) taking the total store count for the business to sixteen covering seven cities

Subsidiary

- Titan Engineering & Automation Limited (TEAL) – Wholly-owned Subsidiary
 - The Automation Solutions Business is showing encouraging signs in the market with new orders coming in from different industry verticals with exports showing similar traction
 - The Aerospace Business has shown improvement over the previous year

- CaratLane – 72.3% owned Subsidiary
 - CaratLane continued to leverage on its omni-channel offerings to customers to achieve robust growth in sales during the festive period that was driven by retail growing by 76% YoY and online clocking 40% growth for the same period
 - Company's operations through the US subsidiary saw the launch of, (i) a new exclusive CL US website in Dec'21 for targeted offerings and (ii) a new warehouse that was operationalized locally to reduce delivery timelines to 3 days for US consumers
 - Studded (including solitaires) saw strong growth momentum across all price points
 - In December, Company opened its first ever airport store at Bengaluru

Quarterly Financials

Particulars (Rs Mns)	Q3FY22	Q3FY21	Growth%	Q2FY22	Growth%
Sale of products/services	99030.0	72430	36.7	72430.0	36.7
Other operating revenues	1340.0	3760	(64.4)	2500.0	(46.4)
Total Operating Revenues	100370.00	76190	31.7	74930.00	34.0
Other income	570.0	400	42.5	550.0	3.6
Total Income	100940.00	76590	31.8	75480.00	33.7
Cost of Materials Consumed	67070	49710	34.9	49550	35.4
Purchase of stock-in-trade	13830	11710	18.1	10090	37.1
Changes in stock	-5890	-2420	143.4	-3460	70.2
Total RM Cost	75010	59000	27.1	56180	33.5
RM to Op Revenue	74.73%	77.44%		74.98%	
Employee benefits expense	3240	2670	21.3	3170	2.2
Employee to Op Revenue	3.23%	3.50%		4.23%	
Advertising	2080	1050	98.1	1350	54.1
Ad Spends to OP Revenue	2.07%	1.38%		1.80%	
Other expenses	5620	4990	12.6	4550	23.5
O. Exps to Op Revenue	5.60%	6.55%		6.07%	
EBITDA (exc. OI)	14420.00	8480	70.0	9680.00	49.0
EBITDA Margin	14.37%	11.13%		12.92%	
EBITDA	14990.00	8880	68.8	10230.00	46.5
Depreciation	980	960	2.1	1040	(5.8)
PBIT	14010	7920	76.9	9190	52.4
Interest	570	510	11.8	510	11.8
PBT	13440.00	7410	81.4	8680.00	54.8
Total Tax	3320	2110	57.3	2270	46.3
Tax Rate	24.7%	28.5%		26.2%	
PAT	10120.0	5300	90.9	6410.0	57.9
Exceptional item					
Share of profit from JV/ Associate	0	0		0	
Minority Interest	80	50	60.0	20	300.0
Adjusted PAT	10040.0	5250.0	91.2	6390.0	57.1
NPM	9.95%	6.85%		8.47%	
Equity	890	887.8		890	
FV	1	1		1	
EPS	11.3	5.9		7.2	57.1
Segmental Revenues					
Watches	7100	5510	28.9	6890	3.0
% to Operating Income	7.0%	7.2%		9.1%	
Jewellery	90590	68360	32.5	65710	37.9
% to Operating Income	89.7%	89.3%		87.1%	
Eyeware	1560	1240	25.8	1600	(2.5)
% to Operating Income	1.5%	1.6%		2.1%	
Others	1340	1230	8.9	990	35.4
% to Operating Income	1.3%	1.6%		1.3%	
Corporate (unallocated)	350	250	40.0	290	20.7
% to Operating Income	0.3%	0.3%		0.4%	
Total	100940	76590	31.8	75480	33.7
PBIT					
Watches	800	150	433.3	900	(11.1)
% to segmental Income	11.27%	2.72%		13.06%	
Jewellery	12880	7660	68.1	8030	60.4
% to segmental Income	14.22%	11.21%		12.22%	
Eyeware	340	220	54.5	370	(8.1)
% to segmental Income	21.79%	17.74%		23.13%	
Others	40	0		-30	
% to segmental Income	2.99%	0.00%		-3.03%	

Valuation & Outlook

Titan has showcased the power of a trustworthy brand with very strong results.

In Jewellery business the company has been able to win-in many geographies and has been continuously gaining market share despite high competition of local players. The management is confident to take Tanishq's store count from 382 to 500 in the next few years.

Focus on growth is the common factor across segments i.e. Jewellery, Watches, Eyewear, TEAL and new business including Taneria

Titan is a well-managed company with a sustainable business model capable of growing @ 20% CAGR in coming years with a ROE and ROCE of 20%+. A business with all the right ingredients and high growth potential will always deserve a premium valuation.

Valuations @ Rs 2475 : Titan trades at 65x FY23E/50x FY24E EPS of Rs 38 and Rs.49 respectively,we maintain **"Buy on Dips"** with target price of Rs.2750 valuing company at 56x FY24E

Financials

P&L (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net Sales	2,10,515.4	2,16,449.9	2,99,542.0	3,52,548.1	4,19,880.3	Net Profit	15,013.9	9,739.9	24,638.5	33,661.9	43,809.3
Freight Expenses	(1,51,550.7)	(1,64,140.0)	(2,25,542.5)	(2,62,648.3)	(3,10,711.4)	Add: Dep. & Amort.	3,479.6	3,750.0	4,020.0	4,456.8	4,849.9
Employee Cost	(11,994.2)	(10,650.0)	(12,790.0)	(14,324.8)	(15,757.3)	Cash profits	18,493.5	13,489.9	28,658.5	38,118.6	48,659.2
Other Expenses	(22,304.7)	(24,410.0)	(24,040.0)	(28,069.1)	(32,000.8)	(Inc)/Dec in					
Operating Profit	24,665.8	17,249.9	37,169.4	47,505.9	61,410.7	-Sundry debtors	1,089.0	(544.5)	(1,264.0)	94.6	(922.4)
Depreciation	(3,479.6)	(3,750.0)	(4,020.0)	(4,456.8)	(4,849.9)	-Inventories	(10,641.6)	(3,050.2)	(26,709.5)	(19,605.0)	(24,903.7)
PBIT	21,186.2	13,499.9	33,149.4	43,049.1	56,560.9	-Loans/advances	1,661.3	906.0	(119.0)	(130.9)	(170.0)
Other income	1,532.3	1,860.0	2,130.4	3,360.7	3,401.4	- Other Current Assets	(5,211.7)	382.3	(1,552.0)	(1,549.2)	(2,050.3)
						-Current Liab and					
Interest	(1,661.7)	(2,030.0)	(2,140.0)	(1,275.7)	(1,312.4)	Provisions	3,883.7	(2,083.5)	5,733.0	(342.1)	3,075.2
PBT	21,056.8	13,329.9	33,139.8	45,134.1	58,649.8	Sundry Creditors	(3,092.7)	1,922.9	3,232.6	1,829.9	2,370.2
Profit before tax (post exceptional)	21,056.8	13,329.9	33,139.8	45,134.1	58,649.8	Change in working capital	(12,312.0)	(2,467.0)	(20,678.8)	(19,702.8)	(22,600.9)
						CF from Oper. activities	6,181.5	11,022.9	7,979.7	18,415.9	26,058.3
Provision for tax	(6,089.9)	(3,530.0)	(8,341.3)	(11,360.3)	(14,762.2)	CF from Inv. activities	(14,507.4)	(29,444.0)	6,006.5	(3,793.1)	19,440.4
Reported PAT	14,966.9	9,799.9	24,798.5	33,773.9	43,887.7	CF from Fin. activities	1,472.4	20,209.8	750.4	(16,423.5)	(43,924.8)
MI	87.3	(10.0)	(160.0)	(112.0)	(78.4)	Cash generated/(utilised)	(6,853.5)	1,788.7	14,736.6	(1,800.7)	1,573.8
Net Profit	15,054.2	9,789.9	24,638.5	33,661.9	43,809.3	Cash at start of the year	10,664.8	3,811.3	5,600.0	20,336.6	18,535.9
Adjusted Profit (excl Exceptionals)	15,013.9	9,739.9	24,638.5	33,661.9	43,809.3	Cash at end of the year	3,811.3	5,600.0	20,336.6	18,535.9	20,109.7

Balance Sheet	FY20	FY21E	FY22E	FY23E	FY24E	Ratios	FY20	FY21E	FY22E	FY23E	FY24E
Equity capital	887.8	890.0	890.0	890.0	890.0	OPM	11.7	8.0	12.4	13.5	14.6
Reserves	65,799.7	74,080.0	92,558.9	1,12,756.0	1,39,041.6	NPM	7.08	4.46	8.17	9.46	10.35
Net worth	66,687.5	74,970.0	93,448.9	1,13,646.0	1,39,931.6	Tax rate	(28.9)	(26.5)	(25.2)	(25.2)	(25.2)
MI	44.0	50.0	210.0	322.0	400.4	Growth Ratios (%)					
Non Current Liabilities	12,500.9	12,350.0	12,480.0	12,107.8	2,367.8	Net Sales	6.4	2.8	38.4	17.7	19.1
Current Liabilities	56,265.5	77,150.0	93,025.6	91,814.9	80,520.8	Operating Profit	23.9	(30.1)	115.5	27.8	29.3
TOTAL LIABILITIES	1,35,497.9	1,64,520.0	1,99,164.5	2,17,890.7	2,23,220.6	PBIT	15.9	(36.3)	145.6	29.9	31.4
Non Current Assets	34,294.9	32,550.0	33,221.5	33,062.6	27,368.8	PAT	6.9	(35.1)	153.0	36.6	30.1
Fixed Assets	25,286.6	24,320.0	24,193.5	23,529.8	17,363.5	Per Share (Rs.)					
Goodwill	1,230.1	1,230.0	1,230.0	1,230.0	1,230.0	Net Earnings (EPS)	16.9	10.9	27.7	38	49 ¹
Non Current Investments	443.6	190.0	200.0	200.0	200.0	Cash Earnings (CPS)	20.8	15.2	32.2	42.8	54.7 ¹
Deferred Tax Asset	1,590.0	1,050.0	1,050.0	1,050.0	1,050.0	Dividend	4.0	3.8	6.9	15.1	19.7
Long Term Loans and Advances	1,535.0	430.0	473.0	520.3	598.3	Book Value	75.1	84.2	105.0	127.7	157.2
Other Non Current Assets	4,209.6	5,330.0	6,075.0	6,532.5	6,927.0	Free Cash Flow	16.3	11.3	8.5	19.2	28.1
Current Assets	1,01,203.0	1,31,970.0	1,65,943.1	1,84,828.1	1,95,851.8	Valuation Ratios					
Current investments	1,135.7	28,050.0	18,140.0	18,140.0	16.1	P/E(x)	146.4	226.2	89.4	65.4	50.3
Inventories	81,029.8	84,080.0	1,10,789.5	1,30,394.5	1,55,298.2	P/B(x)	32.9	29.4	23.6	19.4	15.7
Trade Receivables	3,115.5	3,660.0	4,924.0	4,829.4	5,751.8	EV/EBIDTA(x)	89.7	126.6	58.6	45.9	35.6
Cash and Bank Balances	3,811.3	5,600.0	20,336.6	18,535.9	20,109.7	Div. Yield(%)	0.2	0.2	0.3	0.6	0.8
Short Term Loans and Advances	561.0	760.0	836.0	919.6	1,011.6	FCF Yield(%)	0.7	0.5	0.3	0.8	1.1
Other Current Assets	11,549.7	9,820.0	10,917.0	12,008.7	13,664.5	Return Ratios (%)					
TOTAL ASSETS	1,35,497.9	1,64,520.0	1,99,164.5	2,17,890.7	2,23,220.6	ROE	23%	13%	26%	30%	31%
	-	-	-	-	-	ROCE	25%	15%	31%	34%	39%

Source: Dalal & Broacha Research, Company

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